

E. Company Culture

ESOPs help foster a strong company culture by promoting teamwork, shared responsibility, and clear communication. When employees feel a sense of ownership, it strengthens workplace bonds and enhances collaboration.

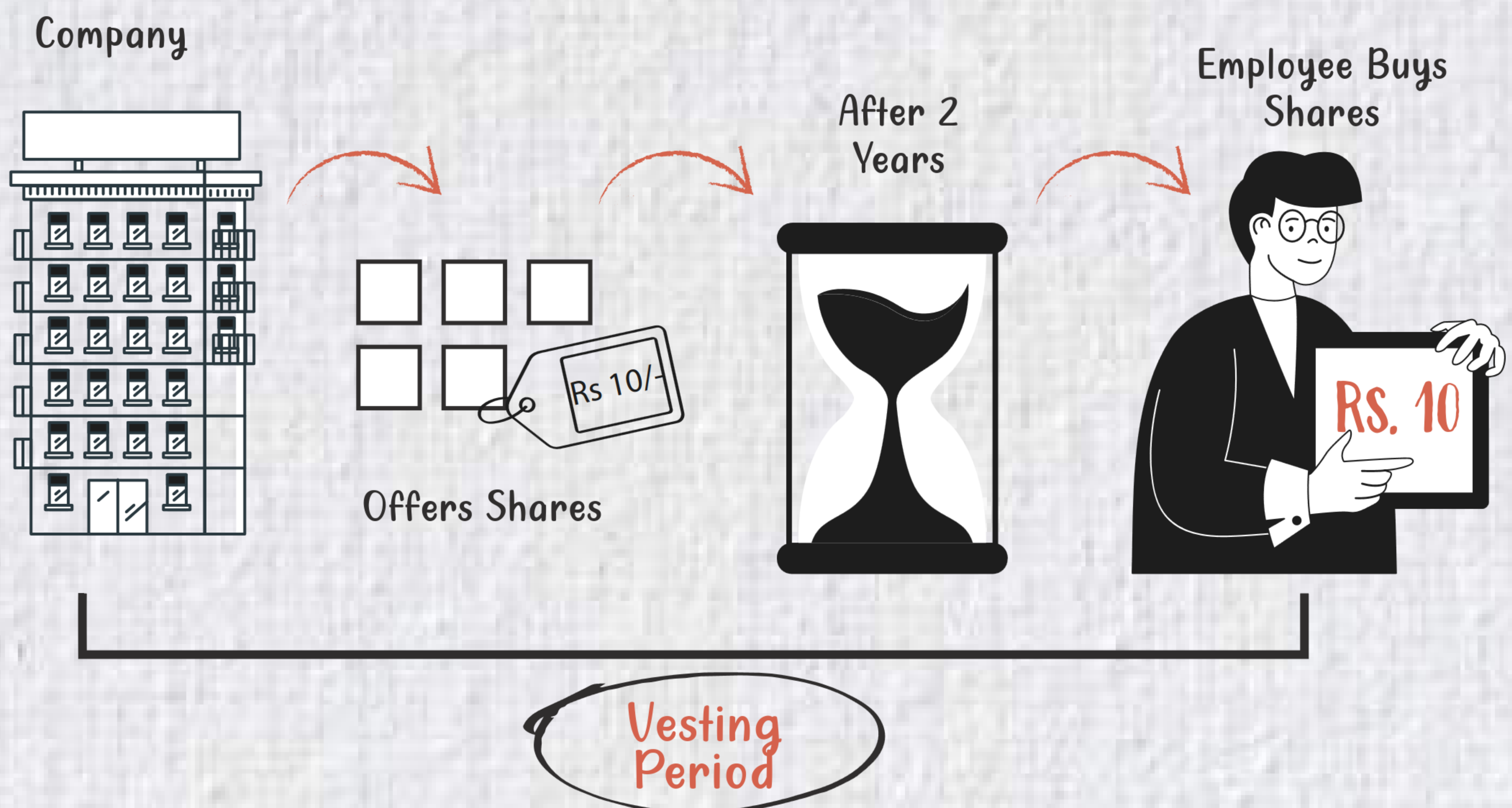


Strengthens
Workplace
Bond

2. How does ESOP work?

In an ESOP plan, employees are typically provided with stock options, not actual stocks.

Suppose an employee works for your startup, which offers an ESOP plan. They are given stock options. This means They have the opportunity to buy shares of a company in the future at a price that is set, let's say, ₹ 10 per share. However, they can't buy this right away. There's a waiting period, let's say two years, called the vesting period. After two years, the employee have the right to buy those shares at ₹10, regardless of the current market price. It is important to know how employees benefit from the plan.



ESOPs serve as a method for compensating employees, motivating them, and creating wealth.